Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · DRHP

Koolking Industries India Limited

Mainboard · HVAC components (brass and copper tubes and fittings for air-conditioner indoor and outdoor units, refrigeration lines) · filed 2026-10-01 · lead manager(s): Keynote Financial Services · issue size Rs 335 cr · price band: Not announced · analysed 2026-10-15

CALL

Screen only

CHECKS

2 fail · 5 watch · 7 pass · 0 open

PAT rose from Rs 76.70 m to Rs 332.06 m over FY24-FY26 with ROCE of 28.39%, but revenue growth slowed to 9.0% in FY26, operating cash flow was negative in two of three years (cumulative -67.5% of PAT), and ten customers are 89.71% of revenue.

Revenue FY26 **₹527 cr** CAGR FY24-FY26: **48.2%**	PAT FY26 **₹33 cr** CAGR FY24-FY26: **108.1%**	EBITDA margin **10.9%** FY24: **6.5%**	Cash conversion (CFO / PAT, 3 yrs) **-67.5%**
Cash tax rate (3 yrs) **25.4%**	P/E at reference (post-issue) **28.1x** peer median: **97.1x**	Blended value (Neutral) **₹76.33** vs reference: **-34.1%**	Reference price **₹115.82** Rs 115.82 = FY26 basic EPS of Rs 6.07 × 19.08, the lowest peer P/E in the DRHP's own table (Elin Electronics, p. 179). It is a reference point for sizing the model, not a price band and not a view of the right price. The DRHP's peer P/Es run from 19.08x to 526.00x (average 176.08x). The only priced transaction in the DRHP is the 29-Jan-2024 transfer among shareholders at Rs 34.66 per Rs 10 share, Rs 5.78 after the bonus and split (p. 190).

Where to focus

× Fail **Cash flow vs profit** p. 87

Operating cash flow +37.40 / -66.47 / -430.08 Rs m (FY24 / FY25 / FY26) against PAT 76.70 / 271.37 / 332.06; cumulative CFO/PAT -67.5% (-459.15 / 680.13). Operating profit before working capital was positive each year (633.64 in FY26); working capital absorbed Rs 962.71 m in FY26 (inventory Rs 1,017.90 m, receivables Rs 344.94 m, offset by payables Rs 596.42 m). FY26 CFO is also after Rs 74.96 m of foreign-exchange loss in other expenses and Rs 44.24 m of unrealised loss added back.

× Fail **Customer / supplier / geographic concentration** pp. 24-26, 404, 430

Demand side: top-10 customers 89.71% / 89.36% / 88.38% of revenue (FY26 / FY25 / FY24); Amber Enterprises India 28.79%; top-5 customers 75.36%. Supply side: top-10 suppliers 79.33% of expenses; Supplier 1 is 32.99% (22.74% in FY25). Amber Enterprises, the largest customer, is also named among the major suppliers (p. 26); the DRHP does not say how much is bought from it. 53.07% of raw materials are imported (South Korea, China, Thailand). The DRHP states there are no long-term contracts with the top-10 suppliers and purchases are by individual purchase order (p. 430). Both sides fail independently.

! Watch **Related-party capex & subsidiaries** pp. 90-92, 407

Related-party trade is small: purchases from KPM India / KPM International Rs 28.57 m (0.54% of FY26 revenue), sales Rs 2.65 m. Freehold land of Rs 4.99 m was bought from Koolking Foundation (a KMP-influenced entity) in FY26. Promoters lend to the company: unsecured loans of Rs 157.25 m were outstanding at 31-Jul-2026 (8.84% of borrowings, p. 37), and interest paid to promoters, relatives and their HUFs was Rs 13.97 m in FY26. Proceeds go to the company's own plants, not to a subsidiary.

! Watch **Contingent liabilities** pp. 55, 89, 461

Contingent liabilities Rs 133.46 m = 14.2% of net worth (Rs 941.17 m) and 30.2% of FY26 PBT; Rs 130.38 m is a customs show-cause notice (22-Apr-2025) on ASEAN-India FTA duty exemption. The High Court dismissed the writ on 28-Apr-2026; a special leave petition (29-May-2026) is pending at the Supreme Court. Not provided for.

! Watch **Auditor qualifications / changes** pp. 59, 95

Statutory auditor Raj Kumar Jindal & Co resigned 20-Sep-2025 (stated reason: preoccupation with other professional arrangements) after re-appointment on 30-Sep-2024; SCV & Co. LLP was appointed 30-Sep-2025 to fill the vacancy and audited FY26. FY25 and FY24 are special-purpose financial statements. Auditors' reports carry observations on audit trail and on title deeds (p. 59).

! Watch **CARO / audit trail** p. 59

CARO / Rule 11(g): audit trail was partly enabled at application level and not at database level throughout FY26. Title deeds of Plot UDL-7 (Gross value Rs 32.22 m, Andhra Pradesh) are not yet in the company's name (held since March 2025; sale deed pending).

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Forensic scorecard

Ten forensic checks and seven regulatory checks.

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	2:1 bonus (record date 21-Aug-2026, allotted 1-Sep-2026) and 1:2 split (3-Sep-2026) are applied retrospectively: EPS 6.07 / 4.96 / 1.43 and NAV 17.20 are on 54,729,240 shares. The balance sheet still shows share capital of Rs 91.22 m (pre-bonus count of 9,121,540 shares of Rs 10), which is a presentation point only.	pp. 176-178
2	Cash flow vs profit	✕ Fail	Operating cash flow +37.40 / -66.47 / -430.08 Rs m (FY24 / FY25 / FY26) against PAT 76.70 / 271.37 / 332.06; cumulative CFO/PAT -67.5% (-459.15 / 680.13). Operating profit before working capital was positive each year (633.64 in FY26); working capital absorbed Rs 962.71 m in FY26 (inventory Rs 1,017.90 m, receivables Rs 344.94 m, offset by payables Rs 596.42 m). FY26 CFO is also after Rs 74.96 m of foreign-exchange loss in other expenses and Rs 44.24 m of unrealised loss added back.	p. 87
3	Current vs deferred tax	✔ Pass	Current tax Rs 107.51 m of a Rs 110.42 m FY26 charge; cumulative current tax is 25.4% of cumulative PBT (236.94 / 933.13 Rs m) against a 25.17% statutory rate. Tax actually paid was Rs 155.57 m over three years, so Rs 92.03 m sits as current tax payable at 31-Mar-2026 (Rs 16.98 m at FY24).	pp. 86-87
4	Related-party capex & subsidiaries	! Watch	Related-party trade is small: purchases from KPM India / KPM International Rs 28.57 m (0.54% of FY26 revenue), sales Rs 2.65 m. Freehold land of Rs 4.99 m was bought from Koolking Foundation (a KMP-influenced entity) in FY26. Promoters lend to the company: unsecured loans of Rs 157.25 m were outstanding at 31-Jul-2026 (8.84% of borrowings, p. 37), and interest paid to promoters, relatives and their HUFs was Rs 13.97 m in FY26. Proceeds go to the company's own plants, not to a subsidiary.	pp. 90-92, 407
5	Objects arithmetic as price floor	– N.A.	Amount-based issue (Rs 3,000 m) with no fixed share count, so no price floor can be set. Specific objects total Rs 2,130.00 m (71.0% of gross proceeds): new units Rs 1,384.73 m, existing-plant machinery Rs 145.27 m, working capital Rs 600.00 m. The balance of Rs 870.00 m must cover offer expenses and general corporate purposes, with GCP capped at 25% of gross proceeds (Rs 750 m); at that cap, offer expenses would be at least Rs 120.00 m.	pp. 133-134
6	Revaluation reserve	✔ Pass	No revaluation reserve in other equity.	pp. 85-86
7	Goodwill vs tangible equity	✔ Pass	No goodwill; other intangible assets Rs 0.67 m.	p. 85

#	CHECK	RESULT	FINDING	PAGE
8	Customer / supplier / geographic concentration	× Fail	Demand side: top-10 customers 89.71% / 89.36% / 88.38% of revenue (FY26 / FY25 / FY24); Amber Enterprises India 28.79%; top-5 customers 75.36%. Supply side: top-10 suppliers 79.33% of expenses; Supplier 1 is 32.99% (22.74% in FY25). Amber Enterprises, the largest customer, is also named among the major suppliers (p. 26); the DRHP does not say how much is bought from it. 53.07% of raw materials are imported (South Korea, China, Thailand). The DRHP states there are no long-term contracts with the top-10 suppliers and purchases are by individual purchase order (p. 430). Both sides fail independently.	pp. 24-26, 404, 430
9	Contingent liabilities	! Watch	Contingent liabilities Rs 133.46 m = 14.2% of net worth (Rs 941.17 m) and 30.2% of FY26 PBT; Rs 130.38 m is a customs show-cause notice (22-Apr-2025) on ASEAN-India FTA duty exemption. The High Court dismissed the writ on 28-Apr-2026; a special leave petition (29-May-2026) is pending at the Supreme Court. Not provided for.	pp. 55, 89, 461
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! Watch	Statutory auditor Raj Kumar Jindal & Co resigned 20-Sep-2025 (stated reason: preoccupation with other professional arrangements) after re-appointment on 30-Sep-2024; SCV & Co. LLP was appointed 30-Sep-2025 to fill the vacancy and audited FY26. FY25 and FY24 are special-purpose financial statements. Auditors' reports carry observations on audit trail and on title deeds (p. 59).	pp. 59, 95
R2	CARO / audit trail	! Watch	CARO / Rule 11(g): audit trail was partly enabled at application level and not at database level throughout FY26. Title deeds of Plot UDL-7 (Gross value Rs 32.22 m, Andhra Pradesh) are not yet in the company's name (held since March 2025; sale deed pending).	p. 59
R3	Monitoring agency	✓ Pass	Monitoring agency to be appointed (issue above Rs 1,000 m). No debt-repayment object. Land for the three new units is already owned and is not funded from proceeds.	pp. 133-134
R4	Eligibility re-computation	✓ Pass	Reg 6(1) re-performed: operating profit 533.77 / 429.41 / 135.94 Rs m reproduces from PBT plus finance cost less other income (442.48 + 117.60 - 26.31 = 533.77); three-year average Rs 366.37 m against the Rs 150 m test; net tangible assets Rs 940.50 / 607.46 / 333.72 m; monetary assets 13.76% / 16.28% / 17.33% of NTA; net worth above Rs 10 m each year. KPI EBITDA Rs 573.88 m reproduces from the P&L.	p. 475
R5	SME conditions	✓ Pass	OFS of 3,050,000 shares by four selling shareholders (915,000 each from three promoters; 305,000 from a promoter-group member), each below half of its holding. At the Rs 115.82 reference the OFS is Rs 353.3 m, 10.5% of a Rs 3353.3 m offer (under the 20% ceiling). Re-test at the RHP price.	p. 1

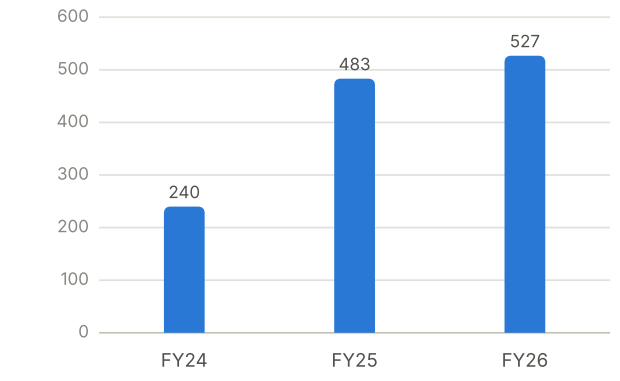
#	CHECK	RESULT	FINDING	PAGE
R6	Lead-manager track record	! Watch	Keynote Financial Services is BRLM. This DRHP lists two IPOs handled in FY27: Amir Chand Jagdish Kumar (Exports), -23.53% at day 30 and -15.98% at day 90; CSM Technologies, -2.75% at day 30. Neither has a 180-day reading. Both are recorded in data/merchant_bankers.json.	pp. 481-482
R7	Firm means of finance	– N.A.	Total project cost of the three new units is Rs 1,530.00 m per the DPR, funded from net proceeds; orders for plant and machinery are yet to be placed (pp. 133-143). Any separate means-of-finance tie-up is not described.	pp. 133-136

Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

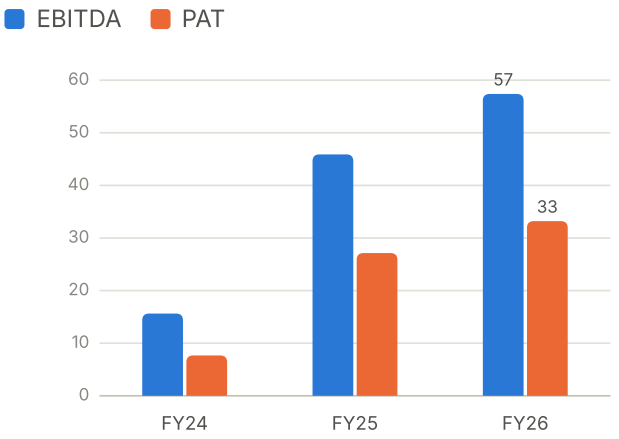
Revenue from operations

Rs crore



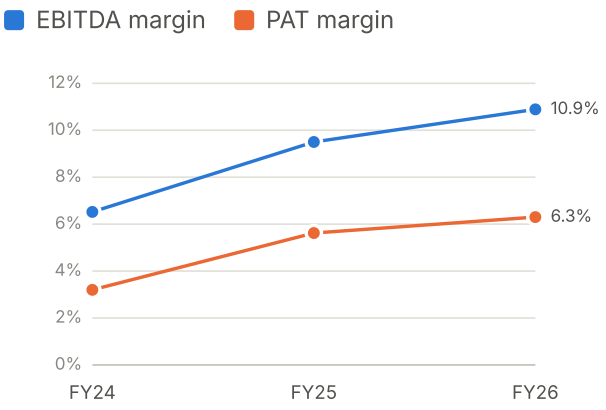
EBITDA and PAT

Rs crore



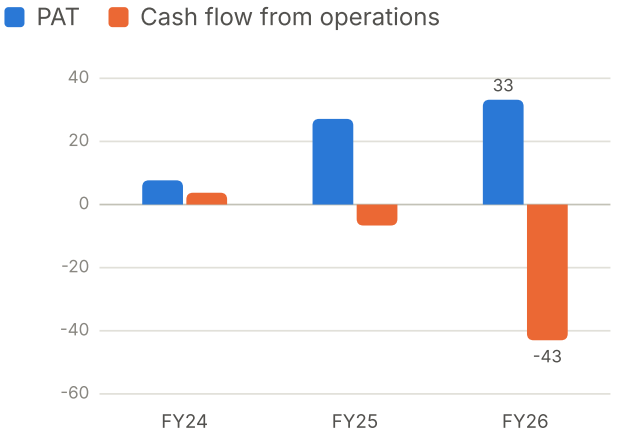
Margins

% of revenue



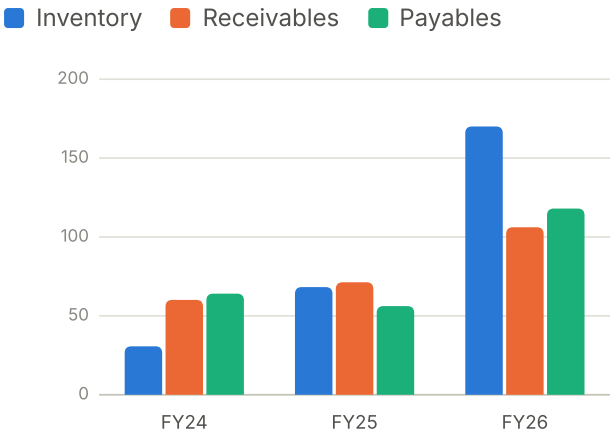
Cash conversion: PAT vs operating cash flow

Rs crore. Profit that does not become cash shows as the gap.



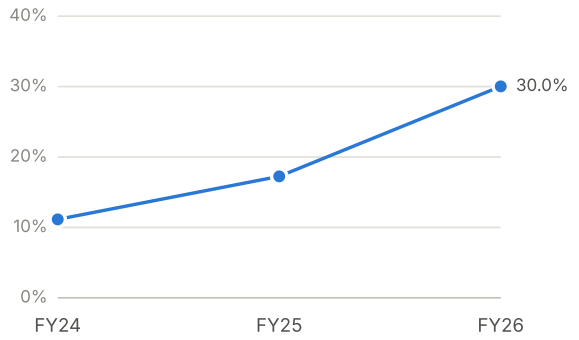
Working capital build-up

Rs crore, year end



Net working capital

% of revenue

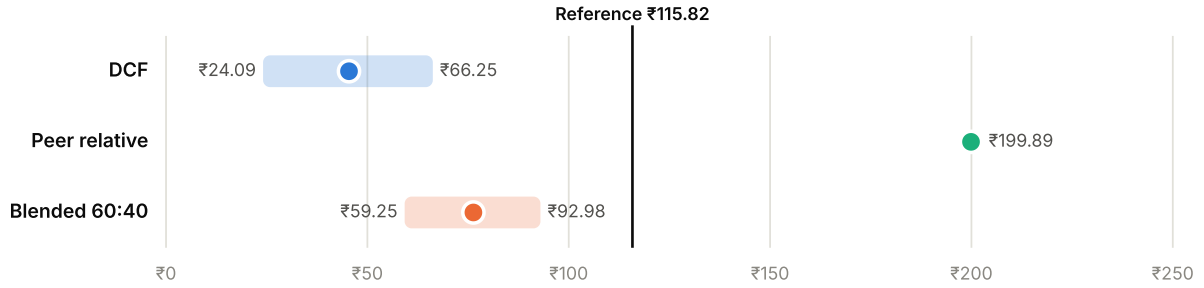


Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Rs 115.82 = FY26 basic EPS of Rs 6.07 × 19.08, the lowest peer P/E in the DRHP's own table (Elin Electronics, p. 179). It is a reference point for sizing the model, not a price band and not a view of the right price. The DRHP's peer P/Es run from 19.08x to 526.00x (average 176.08x). The only priced transaction in the DRHP is the 29-Jan-2024 transfer among shareholders at Rs 34.66 per Rs 10 share, Rs 5.78 after the bonus and split (p. 190).

Valuation range per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical line is the reference price.



Scenario summary

RS/SHARE	DCF	RELATIVE	BLENDED	VS REFERENCE
Bear	₹24.09	₹199.89	**₹59.25**	-48.8%
Neutral	₹45.43	₹199.89	**₹76.33**	-34.1%
Bull	₹66.25	₹199.89	**₹92.98**	-19.7%

WACC **16.9%**

Terminal value share of EV **108.4%**

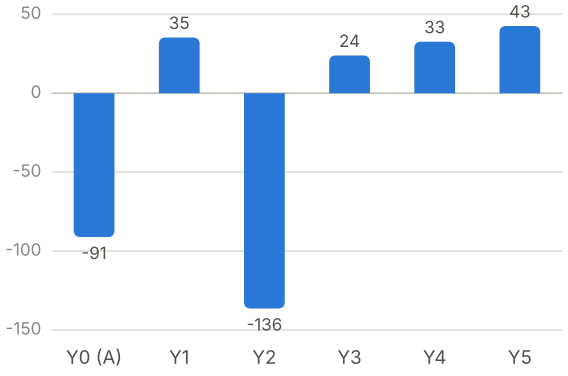
Reverse DCF: what the reference price needs

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	16.9%
required EBIT margin (steady state)	31.7%	10.1%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	31.0%

Current free cash flow is negative: no multiple can be stated, and the entire price rests on a turn that has not yet begun.

DCF projection (Neutral): free cash flow to firm

Rs crore; Y0 is the latest audited year



Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.

WACC	Terminal growth 3.5%	4.0%	4.5%	5.0%	5.5%
14.9%	₹53.15	₹53.58	₹54.05	₹54.55	₹55.08
15.9%	₹48.78	₹49.05	₹49.33	₹49.62	₹49.92
16.9%	₹45.14	₹45.29	₹45.43	₹45.58	₹45.73
17.9%	₹42.06	₹42.12	₹42.18	₹42.23	₹42.28
18.9%	₹39.43	₹39.43	₹39.43	₹39.41	₹39.39

Below reference — Above reference

Sensitivity: working capital vs EBITDA margin

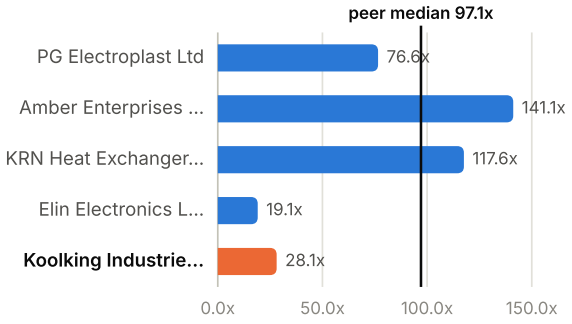
Value per share (Rs). The lever that moves value most deserves the most diligence.

NWC % rev	EBITDA margin 9.5%	10.5%	11.5%	12.5%	13.5%
21%	₹41.12	₹46.07	₹51.02	₹55.96	₹60.91
24%	₹38.33	₹43.28	₹48.23	₹53.17	₹58.12
27%	₹35.54	₹40.49	₹45.43	₹50.38	₹55.33
30%	₹32.75	₹37.7	₹42.64	₹47.59	₹52.54
33%	₹29.96	₹34.9	₹39.85	₹44.8	₹49.75

Below reference — Above reference

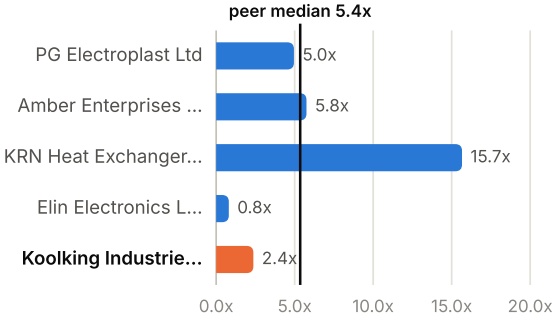
Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



Peer P/B

Issuer on post-issue net worth

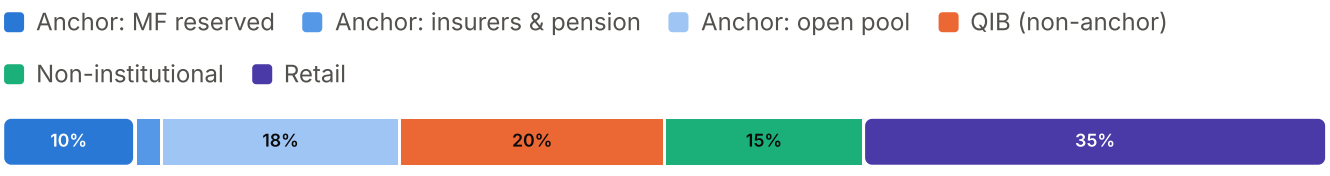


Offer structure and supply

How the issue is split, where an AIF can bid as anchor, and shares that unlock after listing.

Issue split by investor category (Rs 335 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Promoter minimum contribution (20% of post-offer capital at the Rs 115.82 reference)	161.3	1095
Promoter holding above the minimum contribution, after the OFS	292	365
Pre-issue holders other than promoters (promoter group, after OFS by Sugandha Sood)	63.5	180

Anchor tranches (30 / 90 days) and promoter lock-ins are dated once the RHP fixes the allotment date.

Merchant bankers

Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

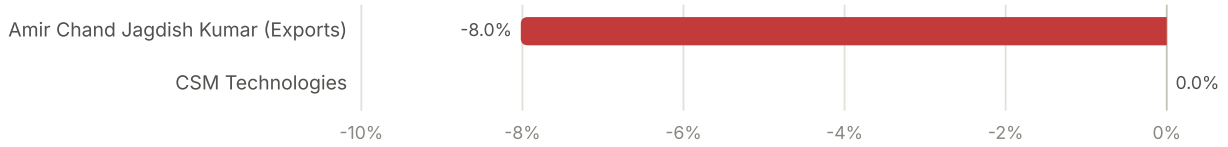
Keynote Financial Services Limited

Listed: Yes (BSE: 512597; NSE: KEYFINSERV)
Owner: Promoter holding reported at about 71.9% (promoters include Vivek Suchanti, 10.45% after a June-2025 HUF partition)

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	2	586
FY2025-26	0	–
FY2024-25	0	–

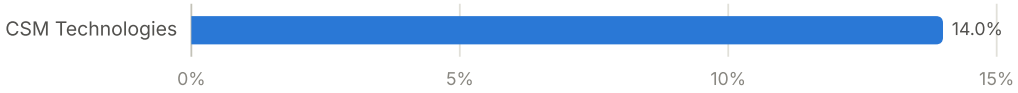
Listing-day open vs issue price

Recent issues handled by this offer's lead managers



Issuers' revenue growth, FY24 → FY26

Secondary-source financials, unverified (see note)



SWOT

Each point carries its figure and page reference in the note.

STRENGTHS

- PAT Rs 76.70 m to Rs 332.06 m FY24-FY26; reported EBITDA margin 6.52% to 10.89% (p. 182)
- Supplies eight of the top ten Indian HVAC makers; 96.91% of FY26 revenue from repeat customers; 108 customer audits in three years (pp. 174-175, 182)
- Eligibility under Reg 6(1) reproduces: average operating profit Rs 366.37 m vs Rs 150 m (p. 475)
- Cash tax 25.4% of cumulative PBT (p. 86)
- Related-party trade small: purchases Rs 28.57 m, sales Rs 2.65 m in FY26 (p. 90)

WEAKNESSES

- Operating cash flow Rs -430.08 m in FY26; cumulative CFO/PAT -67.5% (p. 87)
- Top-10 customers 89.71%; Amber Enterprises 28.79% (p. 24)
- Top-10 suppliers 79.33%; Supplier 1 32.99%; 53.07% of raw material imported (pp. 21, 25)
- Debt/equity 1.63x; borrowings Rs 1,778.11 m at 31-Jul-2026 (pp. 58, 449)
- Auditor resigned 20-Sep-2025; audit trail not enabled at database level (pp. 59, 95)

OPPORTUNITIES

- Addressable HVAC-component market Rs 34.8 bn growing 24.46% a year to FY30, issuer-commissioned (p. 137)
- Three new units (Punjab, Andhra Pradesh, Rajasthan) and new lines in heat exchangers, sheet metal and service valves; land already acquired (pp. 137-138)
- Air-conditioner volume 12.8 m units in FY27 to 16.7 m in FY30 (9.3% CAGR) per CARE (p. 174)
- Installed capacity 279.86 m units (FY24) to 419.26 m units (FY26) (p. 182)

THREATS

- Customs show-cause notice of Rs 130.38 m, appeal pending at the Supreme Court (p. 461)
- Unhedged import exposure: Rs 74.96 m FX loss in FY26 (p. 444)
- Copper and brass price volatility; no long-term supply contracts described (pp. 25, 442)
- Amber and KRN are both large customers and named listed peers (pp. 24, 179)
- Government localisation policy and import-duty changes affect demand (p. 137)

Due-diligence note

Koolking Industries India Limited: DRHP screen

> **Basis.** Draft Red Herring Prospectus dated 23-Sep-2026 (SEBI filing page dated 01-Oct-2026), 100% book-built fresh issue of Rs 3,000 m plus an offer for sale of up to 3,050,000 shares by four selling shareholders (three promoters and one promoter-group member), under Reg 6(1) of the ICDR. Keynote Financial Services Limited is sole BRLM. Restated financials run to 31-Mar-2026, **176 days before the DRHP date and 198 days old at the date of this note**. No price band exists. All issuer figures are from the DRHP; printed page numbers are cited. Only the merchant-banker section uses outside sources, each named and unverified.
>
> Upside is measured against **Rs 115.82**: FY26 basic EPS of Rs 6.07 times 19.08, the lowest peer P/E in the DRHP's own table (p. 179). It is a reference to size the model, not a price band and not a view of the right price. Exit route assumed: 2-3 year hold.
>
> A DRHP is a screen, not a decision. The RHP must carry financials no more than six months old and should include H1 FY27. Until it is read, this note supports no commitment of capital.

Verdict: Screen only. The evidence is mixed.

Strengths: profit has grown fast, returns are high, and the company is eligible on the profit test.

- PAT rose from Rs 76.70 m (FY24) to Rs 271.37 m (FY25) to Rs 332.06 m (FY26); reported EBITDA margin from 6.52% to 10.89% (p. 182).
- Reported ROCE was 28.39% and ROE 42.86% in FY26 (p. 182); adjusted for foreign exchange, 32.38% and 53.71%.
- Current tax is 25.4% of cumulative PBT, close to the statutory rate (p. 86).
- It supplies eight of the top ten Indian HVAC makers (issuer-commissioned CARE report, p. 174); 96.91% of FY26 revenue was from repeat customers; 10 customers carried out 108 audits in three years (pp. 175, 182).
- Reg 6(1) eligibility reproduces: average operating profit Rs 366.37 m against Rs 150 m required (p. 475).

Concerns: growth has slowed, it is not turning into cash, and the exposure is concentrated.

- Revenue was +101.4% in FY25 but +9.0% in FY26 (Rs 5,267.45 m), a year in which copper and brass prices rose (pp. 86, 442).
- Operating cash flow was +Rs 37.40 m, -Rs 66.47 m and -Rs 430.08 m; cumulative CFO is -67.5% of cumulative PAT (p. 87). Inventory days rose to 116 from 50 (p. 167).
- Ten customers are 89.71% of revenue and Amber Enterprises alone 28.79%; Amber is also named among major suppliers. Supplier 1 is 32.99% of expenses (pp. 24-26).
- A customs show-cause notice of Rs 130.38 m (14.2% of net worth) is pending before the Supreme Court; unhedged imports produced a Rs 74.96 m FX loss in FY26 (pp. 444, 461).
- The three new plants (Rs 1,530.00 m) have no orders placed (p. 161). At the Rs 115.82 reference our blended fair value is Rs 59.25 / 76.33 / 92.98 (Bear / Neutral / Bull); the Neutral DCF breaches our

terminal-value guard (see Valuation).

The two readings separate on whether the FY26 working-capital build is temporary. If inventory (Rs 1,700.24 m) and receivables (Rs 1,061.51 m) convert to cash as the issuer's plan assumes (inventory days from 116 to 98 by FY29), the returns shown are real. If margins are held only by passing through metal prices and by 90% customer concentration, growth will keep consuming cash. **H1 FY27 cash flow, the customs outcome, the Amber purchases and the RHP price band are what resolve it.**

Snapshot

Item	Detail
Company	Koolking Industries India Limited (Malerkotla, Punjab); incorporated 2008; second-generation promoter family (pp. 1, 175)
Business	Brass and copper components for air-conditioner indoor and outdoor units and refrigeration lines; 1,697 SKUs; five plants in Punjab, Uttar Pradesh, Rajasthan, Andhra Pradesh; 773 employees (pp. 174-175)
Offer	Fresh issue Rs 3,000 m + OFS up to 3,050,000 shares (Sajiv Gopal, Malti Sood, Varun Gopal 915,000 each; Sugandha Sood 305,000) (p. 1)
Offer size (our reference)	Rs 335.33 cr at the Rs 115.82 reference (Rs 300 cr fresh + Rs 35.33 cr OFS)
Shareholders	Seven; promoters 87.84% (48,072,600 shares), promoter group 12.16%; no public holders (pp. 121, 129)
Shares pre-offer	54,729,240 of Rs 5 each, after 2:1 bonus and 1:2 split (p. 101)
Revenue FY26	Rs 5,267.45 m; reported EBITDA Rs 573.88 m (10.89%); PAT Rs 332.06 m (p. 182)
Net debt	Rs 1,442.34 m (borrowings and lease liabilities Rs 1,548.82 m less cash and bank balances Rs 106.48 m) (p. 85)
Call	**Screen only**

Business model

The company makes U-bends, evaporator inlet and outlet tubes and sockets (indoor-unit components), suction, condenser and discharge tubes and C-bends (outdoor-unit components), brass flare and dead nuts, and refrigeration lines, from copper and brass (pp. 174-175, 25). It sells to air-conditioner makers. FY26 revenue was indoor-unit components Rs 2,208.20 m (41.9%), outdoor-unit components Rs 2,111.67 m (40.1%), scrap sales Rs 670.75 m (12.7%) and other lines Rs 276.83 m (5.3%, our residual) (p. 442). Scrap is counted in revenue from operations and rose 51.1% in FY26.

The DRHP does not describe pricing or metal pass-through terms; its MD&A says FY26 cost of materials rose with copper and brass prices (p. 442). Gross margin was 28.91% in FY26 (p. 182). The company relies on third parties for transport and on contract labour (1,257 workers in FY26 against 883) (p. 444). Imports are 53.07% of raw material purchases, from South Korea, China and Thailand, and are not hedged (pp. 21, 444).

Industry analysis

The industry data come from the CARE Industry Report, **commissioned and paid for by the company** (p. 20), so market-size and growth claims are issuer-sourced. CARE puts the company's addressable market at Rs 34.8 bn in FY26 growing 24.46% a year to FY30, and Indian air-conditioner volume at 12.8 m units in FY27 rising to 16.7 m by FY30 (9.3% CAGR) (pp. 137, 174). On that market the company claims a 15% share (Rs 5,267 m against Rs 34.8 bn). The structure is a supplier tier to a small group of air-conditioner makers (ODMs and OEMs); the listed names the issuer compares itself with are PG Electroplast, Amber Enterprises, KRN Heat Exchanger, Elin Electronics, Centum Electronics and EPack Durables (p. 179), of which Amber and KRN are also its customers. Government localisation policies are cited as supporting domestic sourcing (p. 137). Demand is seasonal (summer cooling), cyclical with consumer durables, and exposed to metal prices.

Moat

- **Pre-qualification.** ODMs and OEMs approve suppliers through technical audits; the issuer cites this as a barrier (p. 174). It protects an incumbent's seat, not its price, and the dependence runs through ten customers that are 89.71% of revenue.
- **Proximity.** Plants near customer hubs cut logistics cost and lead time (p. 175). A real but replicable advantage; the three new units extend it.
- **Scale and cost.** Installed capacity rose from 279.86 m to 419.26 m units over FY24-FY26 (p. 182). Gross margin of 28.91% and a reported EBITDA margin of 10.89% do not show a pricing premium.
- **Switching costs.** Qualified-supplier status is sticky in the short run (repeat customers 96.91%), but no contract terms, tenor or volume commitments are disclosed.
- **Read.** Durable seat with a few large customers; limited pricing power, and no evidence of a structural cost or brand advantage in the numbers.

Revenue and profit growth drivers

- **Revenue.** FY25: +101.4% (indoor +67.6%, outdoor +112.5%, scrap +115.9%) on higher volumes, per the MD&A (p. 442). FY26: +9.0% (indoor +12.7%, outdoor +14.5%, scrap +51.1%) with higher copper and brass prices; sales volume is not disclosed, so how much of FY26 growth is price cannot be measured.
- **Profit.** PBT grew 18.3% on revenue +9.0% in FY26 as gross margin rose from 25.34% to 28.91%. Offsets: finance cost +88.5% to Rs 117.60 m on higher borrowings, contract labour +52.4% to Rs 212.53 m, and a Rs 74.96 m FX loss against Rs 1.24 m (pp. 443-444). Other income of Rs 26.31 m includes grants and credit-loss write-backs.
- **Operating leverage.** EBITDA margin improved from 6.52% (FY24) to 10.89% (FY26) as fixed costs were spread; adjusted for FX, FY26 was 12.32% (p. 182).

SWOT

	Item (figure, page)
Strengths	PAT Rs 76.70 m to Rs 332.06 m FY24-FY26 (p. 182); eight of the top ten HVAC makers served; 96.91% repeat revenue (pp. 174, 182); eligibility on average operating profit Rs 366.37 m (p. 475); cash tax 25.4% of PBT (p. 86); related-party trade small (p. 90)
Weaknesses	CFO -Rs 430.08 m in FY26, cumulative -67.5% (p. 87); top-10 customers 89.71% (p. 24); top-10 suppliers 79.33%, Supplier 1 32.99%, no long-term contracts (pp. 25, 430); debt/equity 1.63x (p. 449); auditor resignation and audit-trail gaps (pp. 59, 95)
Opportunities	Addressable market growing 24.46% a year to FY30, issuer-commissioned (p. 137); three new units and new lines in heat exchangers, sheet metal and service valves (pp. 137-138); AC volumes 9.3% CAGR (p. 174)
Threats	Customs notice Rs 130.38 m at the Supreme Court (p. 461); unhedged FX, Rs 74.96 m loss in FY26 (p. 444); metal-price volatility (p. 442); Amber and KRN are customers and listed peers (pp. 24, 179); dependence on localisation policy (p. 137)

The offer and objects

Object	Rs m	Share of Rs 3,000 m
New unit I, Malerkotla, Punjab	296.73	9.9%
New unit II, Sricity, Andhra Pradesh	619.32	20.6%
New unit III, Ghiloth, Rajasthan	468.68	15.6%
Machinery at existing plants	145.27	4.8%
Working capital	600.00	20.0%
Offer expenses + general corporate purposes	870.00 (balance)	29.0%

(pp. 133-134; the balance is our arithmetic.) The stated ceiling for general corporate purposes is 25% of gross proceeds, Rs 750 m (p. 134); at that ceiling, offer expenses would be at least Rs 120 m. Neither is stated; both should be tested against the ICDR in force at the RHP.

- **Capex.** Rs 1,530.00 m is 2.2x the FY26 net block of property, plant and equipment (Rs 697.49 m; p. 85), per a detailed project report prepared by L & C Techfin Advisory for the issuer (p. 134). Land is already bought (Rs 5.25 m + 5.41 m in Punjab, Rs 60.85 m in Andhra Pradesh, Rs 174.37 m in Rajasthan) and is not funded from proceeds (p. 138). **Orders for plant and machinery and electricals are yet to be placed** (p. 161); deployment is in FY28 (Rs 1,138.82 m) and FY29 (Rs 391.18 m) (p. 134). The DRHP gives no added capacity in units or revenue; the issuer says the plants will make new products.
- **Working capital.** Rs 600.00 m (Rs 400 m in FY28, Rs 200 m in FY29). Issuer-defined working capital was Rs 242.68 m / 732.56 m / 1,632.48 m (10.1% / 15.2% / 31.0% of revenue) in FY24-FY26 and is planned to reach Rs 3,205.00 m by FY29 with bank borrowing held at Rs 1,135 m (pp. 166-168). The plan's receivables of Rs 2,200 m in FY29 (2.07x FY26) imply revenue of about 2x FY26, a CAGR near 27%. The RHP should state the revenue forecast behind it.
- **No debt repayment** is funded; borrowings were Rs 1,778.11 m at 31-Jul-2026, of which Rs 157.25 m are unsecured promoter loans (p. 37).

- **Offer for sale.** 3,050,000 shares, about 6% of the promoter group's holding; 10.5% of the offer at the reference price; each seller offers less than half of the holding (R5).

Financials and key findings

Rs m	FY24	FY25	FY26
Revenue	2,399.38	4,831.42	5,267.45
Reported EBITDA	156.35	458.91	573.88
EBITDA margin	6.52%	9.50%	10.89%
PAT	76.70	271.37	332.06
CFO	37.40	-66.47	-430.08
Total equity	334.79	608.26	941.17
Borrowings (excl. leases)	372.80	658.75	1,532.11
Inventory	306.98	682.34	1,700.24
Trade receivables	601.16	712.82	1,061.51

(pp. 85-87, 182, 449.)

Positives: (1) profit up 4.3x in two years with margins rising; (2) taxes accrued at the statutory rate; (3) receivables are fresh: 99.45% is within six months of due date, with an allowance of Rs 7.91 m (p. 384); (4) minimal related-party trade (Rs 28.57 m of purchases, 0.54% of revenue; p. 90); (5) cash profit before working capital was Rs 633.64 m in FY26, so the cash gap is in working capital, not in earnings (p. 87).

Concerns: (1) cash: working capital absorbed Rs 962.71 m in FY26; inventory days 116 against 50; borrowings up from Rs 658.75 m to Rs 1,532.11 m in a year; interest cover 4.54x on EBIT (p. 87); (2) payables rose Rs 596.42 m, of which micro and small enterprise dues are Rs 143.97 m (p. 85); (3) the FY26 EBITDA bridge to the issuer's "adjusted" figure adds back Rs 74.96 m of FX loss, so reported and adjusted differ by 13% (p. 182); (4) tax actually paid was Rs 155.57 m over three years against Rs 236.94 m charged; Rs 92.03 m is current tax payable (p. 85); (5) the customs notice and the title deed of a Rs 32.22 m plot not yet in the company's name (pp. 59, 461).

Related parties. Promoter remuneration is small (Rs 8.48 m in FY26, 2.6% of PAT); interest of Rs 13.97 m was paid to promoters, relatives and their HUFs; Rs 4.99 m of freehold land was bought from Koolking Foundation (pp. 90-92). KPM India / KPM International (KMP-influenced) supplied Rs 28.57 m and bought Rs 2.65 m.

Forensic scorecard

#	Check	Status	Finding (page)
1	Bonus before filing	PASS	2:1 bonus and 1:2 split applied in EPS and NAV (pp. 176-178)
2	Cash flow vs profit	FAIL	Cumulative CFO/PAT -67.5%; FY26 -430.08 Rs m (p. 87)
3	Current vs deferred tax	PASS	Current tax 25.4% of cumulative PBT (p. 86)

#	Check	Status	Finding (page)
4	Related-party capex	WATCH	Rs 4.99 m land from a KMP-influenced entity; promoter loans Rs 157.25 m (pp. 37, 90)
5	Objects as price floor	N.A.	Amount-based issue; 71.0% is specific objects (pp. 133-134)
6	Revaluation reserve	PASS	None (pp. 85-86)
7	Goodwill	PASS	None (p. 85)
8	Concentration	FAIL	Top-10 customers 89.71%; Supplier 1 32.99% (pp. 24-26)
9	Contingent liabilities	WATCH	Rs 133.46 m, 14.2% of net worth; customs Rs 130.38 m (pp. 89, 461)
10	Investor presentation	N.A.	Not reviewed
R1	Auditor	WATCH	Resignation 20-Sep-2025; special-purpose FY25/FY24 statements (pp. 59, 95)
R2	Audit trail	WATCH	Not at database level; title deed pending (p. 59)
R4	Eligibility	PASS	Average operating profit Rs 366.37 m reproduces (p. 475)
R5	OFS limits	PASS	Each seller below half of holding
R6	BRLM record	WATCH	Two IPOs, both below issue price at day 30 (p. 481)

"FAIL" on checks 2 and 8 are threshold tests (negative cumulative CFO; above 80% concentration), not findings of wrongdoing.

Merchant banker: Keynote Financial Services Limited

- **Name and owner.** Keynote Financial Services Limited, SEBI-registered merchant banker. The company is listed (BSE 512597; NSE KEYFINSERV) and promoter holding is reported at about 71.9% (secondary: IIFL, Motilal Oswal, Screener; unverified; verify from the latest shareholding filing).
- **Issues handled.** Two IPOs in FY27 to date, Rs 5,858 m in total, and none in FY26 or FY25 (pp. 481-482). The same lead manager is BRLM to Jagatjit Agri Engineering Limited, also in this desk's file.

Issue	Size Rs m	Issue price Rs	Listed	Open Rs	Day 30	Day 90	Day 180
Amir Chand Jagdish Kumar (Exports)	4,400	212.00	02-Apr-2026	195.00 (-8.0%)	-23.53%	-15.98%	n.a.
CSM Technologies	1,458	113.00	02-Jul-2026	113.00 (0.0%)	-2.75%	n.a.	n.a.

(p. 481; changes are against issue price.) **Current price and issuer financials (secondary, unverified).**

- **Amir Chand Jagdish Kumar (Exports):** last reported price Rs 196.00 after Q1 FY27 results (insights.dsij.in; date not stated; 5paisa.com shows a conflicting Rs 124 on 16-Apr-2026); 9M FY26

revenue Rs 1,592.46 cr (+12%) and PAT Rs 83.34 cr (+71%) (hdfcsky.com, tribuneindia.com); full-year and three-year series not sourced.

- **CSM Technologies:** FY26 consolidated total income Rs 228.72 cr (+14.0%) against Rs 200.63 cr and PAT Rs 24.01 cr (+70.2%) against Rs 14.09 cr (multibagg.ai, a single summary of results); no current price sourced.

Read. A small sample of two issues. Both closed below issue price at day 30 (-23.53% and -2.75%); the first was still 15.98% below at day 90 and opened 8.0% below issue price. Two issues are too few to say anything firm about the lead manager's pricing, and the full track record the SEBI circular asks for is delegated to the BRLM's website.

Valuation and reverse DCF

Our model (Rs per share, post-issue diluted at the reference price; 80:20 DCF:relative because the issuer's peers are not comparable; terminal growth 4.50%; relative on P/E only because the DRHP gives peers' EPS and NAV but not their EBITDA or net debt):

	Bear	Neutral	Bull
DCF	24.09	45.43	66.25
Relative	199.89	199.89	199.89
Blended	59.25	76.33	92.98
vs Rs 115.82 reference	-48.8%	-34.1%	-19.7%

- **Drivers.** Revenue growth Bear 5% / 5% / 5% / 4% / 4%, Neutral 16% / 16% / 14% / 12% / 10%, Bull 27% / 24% / 20% / 15% / 11%; reported-EBITDA margin 9.5% / 11.5% / 13.0%; working capital 31% / 27% / 23% of revenue; terminal ROIC 12% / 17% / 22%. Rationale and cites are in the workbook. Bear excludes the capex object and its funding. Capex per rupee of added revenue is measured over FY25-FY26 (0.133), not FY26 alone (0.65), because FY26 was the expansion year with only 9.0% growth; IPO capex falls in model year 2, in line with the issuer's FY28-FY29 schedule.
- **Relative.** Peer P/Es used: PG Electroplast 76.58x, Amber 141.15x, KRN 117.58x, Elin 19.08x (median 97.1x); EPack (526x on EPS of Rs 0.34) and Centum (loss) are excluded. The peer set is the DRHP's and is not comparable in size or model; we apply a 50% discount to the peer median. Peer data are per share from the DRHP (p. 179), not exchange quotes.
- **Divergence.** DCF and relative differ by about 77% in the Neutral case. The relative method prices FY26 earnings of Rs 33.21 cr at the multiple of listed ODMs, while the DCF prices cash: working capital absorbs 27% of each rupee of added revenue and free cash flow is negative in the first two forecast years. The gap is the investment question: whether earnings convert to cash.
- **Terminal-value guard.** The Neutral DCF breaches our 100% guard (terminal value 108% of enterprise value) because explicit-period free cash flow is negative; the Bull case sits at 95%. We show the Neutral figure but do not rely on it, and the blended Neutral value inherits that caveat. We did not change assumptions to pass the guard: the issuer's own plan holds working capital near 29% of revenue.
- **Reverse DCF.** Current free cash flow is negative, so no multiple can be stated, and the entire price at the reference rests on a turn in cash conversion that has not yet begun.
- **Post-money dilution.** If the Rs 3,000 m fresh issue were counted in full, FY26 PAT of Rs 332.06 m on equity of Rs 3,941.17 m would be a return of at most 8.4%, against the 42.86% shown pre-issue. At the reference price the pre-money P/E is 19.08x, EV/EBITDA about 13.6x (our arithmetic: market value Rs

6,338 m plus net debt Rs 1,442 m over reported EBITDA Rs 573.88 m) and P/B 6.7x on NAV of Rs 17.20. Promoter weighted average costs are Rs 1.81 to Rs 3.36 per share (cover page).
- The reference sits above all three blended values. That is a statement about the reference, which is ours; the actual band may differ materially.

Supply overhang (at the reference price). Promoter minimum contribution about 161.3 lakh shares locked for three years; promoter holding above it about 292.0 lakh shares for one year; other pre-issue holders about 63.5 lakh shares for six months (p. 121). Public float at listing is about 289.5 lakh shares (fresh 259.0 + OFS 30.5 lakh), so the six-month release (63.5 lakh) is 22% of float and the one-year release (292.0 lakh) is about the size of the float. Anchor allotments are discretionary and locked in (half for 30 days, half for 90 days), so cannot be sold on listing day.

What would change our view

Measurable against the RHP:

1. H1 FY27 financials show operating cash flow above 50% of PAT and inventory days below 100.
2. The customs show-cause matter is resolved, or the exposure (duty, interest and penalty) is quantified at under 10% of net worth.
3. Purchases from Amber Enterprises are disclosed with terms, and Supplier 1 is identified; the top-10 customer share is below 85% in H1 FY27.
4. Orders are placed for at least half of the Rs 1,384.73 m for the new units, and the RHP gives the added capacity in units and the revenue the issuer expects from it.
5. The RHP states the revenue projection behind the working-capital plan and it is within our Neutral-to-Bull range, or the price band is at or below our blended values (Rs 59.25 / 76.33 / 92.98).
6. A hedging policy is disclosed and the FX loss in H1 FY27 is below 5% of PBT.
7. Copper and brass pass-through terms are disclosed for the top four customers. In the other direction: a price band above Rs 115.82 with the same financials, or a larger share of revenue from Amber.

Risks

Customer concentration (89.71%) and supplier concentration (79.33%) with no long-term contracts; metal-price and foreign-exchange exposure on 53.07% imported inputs; negative operating cash flow funded by short-term debt of Rs 1,206.05 m; Rs 130.38 m customs matter before the Supreme Court; auditor resignation within a year of filing and incomplete audit trail; Rs 1,530.00 m capex not yet ordered; unsecured promoter loans of Rs 157.25 m; promoters and promoter group hold 100% pre-offer; no comparable listed peers.

Data gaps

Gap	Severity
Price band, offer expenses, GCP amount, post-issue share count	High
H1 FY27 financials; audited record ends 31-Mar-2026	High
Customs show-cause notice: exposure and Supreme Court status	High
Purchases from Amber Enterprises; identity of Supplier 1	High

Gap	Severity
Orders for new-unit plant and machinery; added capacity	Medium
Hedging policy and open FX exposure	Medium
Copper and brass pass-through terms; sales volumes by product	Medium
Comparable listed peers (P/E 19x to 526x)	Medium
Scrap sales of Rs 670.75 m in revenue: metal content and pricing basis	Medium
Current price and 3-year financials for Keynote's two IPOs	Medium
Sale deed for Plot UDL-7 (Rs 32.22 m)	Low

Verification

- **Restated statements reproduce.** Expenses sum to the printed totals in all three years (FY26: 4,260.29 - 515.61 + 256.01 + 117.60 + 40.11 + 692.88 = 4,851.28); PBT = income less expenses (5,293.76 - 4,851.28 = 442.48); PAT = PBT less tax Rs 110.42 m = Rs 332.06 m. Total assets Rs 3,883.42 m equal total equity and liabilities in every year.
- **KPI EBITDA** reproduces: FY26 442.48 + 117.60 + 40.11 - 26.31 = 573.88; FY25 458.91; FY24 156.35. Operating profit for eligibility reproduces (533.77 / 429.41 / 135.94; average 366.37).
- **Cash flow.** FY26 net movement -430.08 - 302.97 + 732.93 = -0.12, as printed.
- **EPS.** Rs 332.06 m / 54,729,240 shares = Rs 6.07; the FY24 figure uses about 53.6 m shares because of a share issue in FY24 (Rs 1.43).
- **Issuer working-capital table** reproduces the balance sheet: inventory 1,700.24 + receivables 1,061.51 + other current assets 13.73 + 115.64 - payables 1,180.04 - 54.02 - 24.58 = 1,632.48.
- **No document inconsistency** was found in the statements; the note's "adjusted" EBITDA (Rs 648.84 m) is the issuer's own and is not used in the model.
- **Not tested:** the investor presentation was not reviewed; the industry report was not read in full; the image-only annexure check was not needed because the text layer was readable.
- **Outside sources** are used only in the merchant-banker section and are marked unverified.
- **Workbooks:** the toolkit verification result is recorded in the pull request.

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